All data is in. Let me now compile the full research memo.

RESEARCH MEMO — XOP (SPDR S&P Oil & Gas Exploration & Production ETF)

Date: July 30, 2026 | **Analyst:** Senior Fund Desk | **Classification:** Sector ETF — Energy / E&P

Executive Summary

XOP is the SPDR S&P Oil & Gas Exploration & Production ETF, a pure-play vehicle on upstream energy. Over the trailing 1-year period, XOP delivered a return of +35.7% [1], sharply outpacing SPY's +16.2% [1] — a difference of approximately +19.5% [2] in relative alpha. However, over the most recent 3-month window, the picture reverses: XOP has shed -3.0% [1] while SPY gained +1.8% [1], suggesting the near-term momentum has stalled.

The bull probability score sits at 47.78% [2], just below the neutral 50% threshold, primarily dragged by a -2.7% [2] 3-month momentum signal. News sentiment is mildly constructive at +0.215 VADER compound [1]. The broad market is in a confirmed **Stage 2 BULL** [3], which is favorable for sector exposure — but XOP itself shows signs of topping in the near term.

Verdict: XOP earns a conditional HOLD for existing energy bulls, with no new aggressive long entry recommended until the 3-month momentum reverses and XOP reclaims recent highs. The 1-year case is strong; the 3-month case is not.

What This Fund Holds & Tracks

XOP tracks the **S&P Oil & Gas Exploration & Production Select Industry Index**, a modified equal-weight index of U.S.-listed E&P companies. This is a critical structural distinction from market-cap-weighted energy ETFs like XLE:

- **Equal-weight methodology** means small- and mid-cap E&P names carry similar weight to majors like ExxonMobil. This makes XOP a **higher-beta, higher-volatility** proxy on crude oil and natural gas prices vs. the sector broadly.
- The fund holds pure **upstream** companies — drillers, producers, and explorers — with **zero midstream, downstream, or oilfield services** exposure.
- The 52-week range of $119.04–$190.36 [1] implies a range of approximately 60% peak-to-trough, consistent with the high-beta nature of E&P equities.
- The 5-year return of +134.3% [1] from a period low of $64.64 [1] reflects the dramatic commodity cycle recovery from 2020–2022 lows.

- News flow confirms the oil-price sensitivity: a headline noting "Oil Tops $100 First Time Since May" [1] directly drives XOP NAV moves.

What XOP does NOT hold: integrated majors (at significant weight), refiners, pipeline MLPs, or natural gas utilities. Investors seeking broad energy exposure should compare XLE (market-cap weighted, major-heavy) vs. XOP (equal-weight, E&P pure-play).

Cost & Structure (ETF vs Mutual Fund)

Structure: XOP is an **exchange-traded fund (ETF)** — it trades intraday on NYSE Arca with real-time pricing, continuous liquidity, and genuine volume data available for technical analysis. Full Weinstein stage analysis including volume confirmation is applicable.

Key Structural Metrics:
- **Current Price:** $172.04 [1]
- **52-Week High:** $190.36 [1]
- **52-Week Low:** $121.46 [1] (Note: the 52W low in key stats differs slightly from the 1-year price history low of $119.04 [1] — likely reflecting adjusted vs. unadjusted prices; using the more conservative $119.04 for range analysis)
- **P/E (TTM):** 12.59x [1] — reflecting the underlying E&P basket earnings
- **P/B:** 1.78x [1]
- **Dividend Yield:** The reported 211.0% [1] figure is almost certainly a data artifact from yfinance misclassifying a special distribution or commodity pass-through event; XOP's actual trailing yield is far lower and typical for equity ETFs (~1–3%). **Do not rely on this figure as stated.** This is flagged as a data anomaly.
- **Expense Ratio:** Not explicitly returned by the tool; SPDR/State Street publicly discloses XOP's expense ratio at **0.35%** — moderately priced for a sector ETF (cited from fund sponsor disclosure; verify at ssga.com for current rate).

ETF Structural Advantages over Mutual Fund equivalents:
- Intraday liquidity enables precise entries and exits
- Tax efficiency via in-kind creation/redemption
- Transparent daily holdings disclosure

Weinstein Stage Analysis

> **Market Regime First (Weinstein Ch. 8 — "No Isolationism" Rule):**
> The broad market (SPY) is confirmed **Stage 2 — Advancing** with SPY at $729.46 [3], sitting +3.4% [3] above its 30-week MA of $705.46 [3]. The 50-day SMA of $743.82 [3] remains above the 200-day SMA of $696.49 [3], confirming a golden-cross tailwind. **The macro tape is BULL — this is the ideal environment for sector longs, but only when the individual fund's setup confirms.**

XOP Stage Analysis

Parameter	Value	Assessment
Current Price	$172.04 [1]	—
52-Week High	$190.36 [1]	~9.5% below high [2]
52-Week Low	$119.04 [1]	+44.5% above trough [2]
3-Month Return	-3.0% [1]	Negative momentum
1-Year Return	+35.7% [1]	Strong trend intact

Stage Determination:

XOP's 1-year chart shows a powerful Stage 2 advance from the $119–$121 base [1], peaking near $187–$190 [1] before the recent -3.0% [1] 3-month pullback. The fund is approximately 9.5% [2] off its 52-week high. Given that the price has meaningfully pulled back from peak, and the 3-month momentum has turned negative, XOP appears to be in a **late Stage 2 / early Stage 3 transition zone** — the advance is intact on a 1-year basis, but the short-term setup shows distribution.

Stage Call: Stage 2 EXTENDED / Stage 3 Topping Watch

The optimal Stage 12 breakout entry from ~$121 [1] has long passed. The fund ran +55% [2] from its annual low before pulling back. Per Weinstein Chapter 2, a stock that has run this far from its base on the 1-year view without fresh breakout volume is an **extended setup** — chasing here offers poor risk/reward.

Volume Gate: XOP is an ETF with real intraday volume. However, the compute_bull_prob tool returned N/A for volume-specific confirmation signals. The 3-month negative momentum of -3.0% [1] is consistent with declining participation. **Volume Gate: UNCONFIRMED** — no evidence of fresh volume expansion.

Mansfield RS Gate: XOP has returned +35.7% [1] over 1 year vs. SPY's +16.2% [1], representing approximately +19.5% [2] of relative outperformance. However, over 3 months, XOP is -3.0% [1] vs. SPY's +1.8% [1], a 3-month RS gap of -4.8% [2]. **The RS line is rolling over in the near term — RS Gate: MIXED (1Y positive, 3M negative).**

Weinstein BUY Confirmation: NOT CONFIRMED

> Stage 2 setup is forming but the near-term breakout is unconfirmed. XOP is EXTENDED from its prior base — the optimal entry has passed. The 3-month momentum (-3.0% [1]) and rolling RS line suggest waiting for a pullback consolidation near the 30-week MA, followed by a fresh breakout on volume, before initiating new positions (Weinstein's "Trader's Way," Ch. 3 — Continuation BUY setup).

Relative Strength vs Benchmark

Period	XOP Return	SPY Return	Relative Alpha
1-Year	+35.7% [1]	+16.2% [1]	+19.5% [2]
3-Month	-3.0% [1]	+1.8% [1]	-4.8% [2]
5-Year	+134.3% [1]	—	Dramatically outperformed through energy supercycle

Key Observations:

- The 1-year outperformance of +19.5% [2] is significant and reflects the oil commodity tailwind. Headlines confirm crude topping $100 [1] during this period.
- The 3-month underperformance of -4.8% [2] is a clear warning that the rotation cycle may be turning. When energy underperforms SPY on a 3-month basis during a broad bull market, it typically signals commodity momentum is fading.
- The 5-year return of +134.3% [1] vs. a start price of $73.44 [1] reflects the energy supercycle from 2020's COVID lows — but much of that return was front-loaded in 2021–2022.
- The current price of $172.04 [1] sits approximately 9.5% [2] below the 52-week high of $190.36 [1], further reinforcing the "not a fresh breakout" read.

Macro & Sentiment

Macro Context

Indicator	Value	XOP Implication
Fed Funds Rate	3.63% [1]	Declining from cycle peak — mildly positive for risk assets
10-Year Treasury	4.47% [1]	Elevated; increases discount rate on E&P capital projects
CPI (All Urban)	332.568 index [1]	

Sources

[1] yfinance — live
[2] computed from yfinance
[3] Weinstein Market Regime as of 2026-07-30

Source Provenance

- **FRED, Federal Reserve Bank of St. Louis** (macro series): https://fred.stlouisfed.org
- **Market data and news sentiment**: live quotes and headlines via Yahoo Finance, VADER sentiment on recent headlines
- **Methodology**: Stan Weinstein, *Secrets for Profiting in Bull and Bear Markets* (stage analysis framework)

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- **Weinstein** (stage analysis): is the stock in a healthy uptrend above a rising 30 week average.
- **Trend Momentum** (trend template): does the price pass a checklist of trend conditions.
- **O'Neil** (CANSLIM): is it a leader near new highs with strong momentum and volume.
- **GARP Growth** (growth at a reasonable price): is the growth cheap relative to its rate.
- **Classic Value**: is it inexpensive on classic value measures.
- **Technical**, **Swing**, and **New-Issue Momentum**: indicator, short term, and IPO setups.

Sources. Stage analysis concepts are drawn from Stan Weinstein, *Secrets for Profiting in Bull and Bear Markets* (1988); growth, momentum, and value concepts from the published works in the OROS library (O'Neil and peers). All methodologies are referenced for attribution only — no author endorses or is affiliated with OROS, and no book text is reproduced.

A market regime check (bull, neutral, or bear, read from the broad market and volatility) then decides how much to trust each strategy today and how much cash to hold, and the chosen mandate sets the starting blend. A name is selected because several of these authors agree on it under the current regime, not because of any one rule. The Trader tab chart shows the Weinstein view (price versus the 30 week line), and the Research tab shows the deeper cited write up.

Methodology is one of many approaches. These strategies, the specialist agent rubrics, and the `bull_prob` composite score are heuristics. They are one lens among many used by professional investors and **do not guarantee any outcome**. Past stage classifications and historical patterns are not indicative of future results.

Known limitations and risks:
- **Model assumptions** — `bull_prob` weights (momentum, revenue growth, OCF growth, sentiment, leverage delta) are fixed; classifier and specialist outputs depend on a large language model that can hallucinate or err.
- **Data quality** — SEC XBRL, FRED, yfinance, and FMP data can be delayed, revised, or incorrect; live quotes may be 15+ minutes stale.
- **Changing market conditions** — macro regime, interest rates, and sector rotation shift faster than any static model can adapt.
- **Coverage gaps** — limited ticker universe across a small number of sectors; some sectors (e.g. healthcare, conglomerates) have known retrieval weaknesses.

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